



www.ranapk.com

Rana Abubakar Khan

If you want to learn computer programming then contact with me

truefriendlion@gmail.com

JOIN FB GROUP FOR VU HELP

www.facebook.com/groups/vu1234/

MGT411 FINAL TERM PAPER SHARED BY STUDENT 2018

ON SEPTEMBER 3, 2018 AT 8:44PM

MGT411

Today Paper

Timing 11 to 1

Mcqs were mostly conceptual.

Questions:

Q1) Net worth define and write formula? 3marks.

Q2) Central bank 3 major day to day operations. 3marks.

Q3) Impact of inflation shock on output and inflation? 3 marks

Q4) Open market operation se relevant conceptual q dea thaa. 5 marks

Q5) Money ka conceptual q dea thaa like interest, reserve, excess reserve etc increase krne se kia impact prta ha? 5 marks

Q6) Impact on AD Curve slope when output is sensitive to inflation and when it is not? 5 marks.

Q7) Money growth and inflation relationship discuss. 3marks

Q8) Commercial and community bank explain? 5 marks.

Q9) 3 marks ke e true false q thee.

MGT411 FINAL TERM PAPER SHARED BY STUDENT

MGT411 CURRENT FINAL TERM PAPERS IN ONE THREAD 25-FEB-2017 TO 8 MARCH 2017

Mcq's were from handouts so just go through them once.

Short questions:

1)write 2 components of independence.

2)what is accountability and transparency.

3)bank is solvent or liquid ? Explain.



www.ranapk.com

Long questions:

1) Aggregate curve effect on short and long term.

2) difference between liquidity risk rate and interest risk rate.

Not remember more questions.

Lesson 44 and 45 are important from mcq's point of view.

MGT411 FINAL TERM PAPER SHARED BY STUDENT

ON AUGUST 22, 2016 AT 9:30PM

Mostly mcqs was new, Some subjective questions from past papers and some was from mcqs.

objectives of central bank

financial intermediaries

portfolio of aggregate demand

prepare balance sheet of insurance company

some questions about inflation changes or graph

Best of luck :-)

MGT411 FINAL TERM PAPER SHARED BY STUDENT

ON AUGUST 24, 2014 AT 6:33PM

My Paper. 24-aug-2014..11:00 a.m

Total Questions = 55

Total Marks = 78

Total MCQs = 46



www.ranapk.com

Total Subjective Questions = 8

4 Questions of 3 Marks

4 Questions of 5 Marks

1. Discuss the impact of inflation shock on output and inflation. Marks: 5
2. What is the effect of an increase in potential output on inflation and output? Marks:3
3. What are the factors on which the size of money multiplier depends? marks 3
4. Relationship between money growth and inflation support your answer with reasons.
5. Discuss the impact of following on short run aggregate supply curve:a) When current output rises above output and b) A rise in labor cost.
6. List down the reasons for Govt. to get involved into the financial system?
7. ROA 3
8. Insurance contract

MGT411 FINAL TERM PAPER SHARED BY STUDENT

ON JULY 16, 2011 AT 1:23AM

Current Paper 15-07-2011:

Total Questions = 64

MCQZ = 56 (about 80%-85% from past papers)

Subjective included:

1. Discuss the impact of following on short run aggregate supply curve? (5)

- a. When current output is greater than potential output,
- b. Rise in labor costs.

2

a. Why Government does not give charge of printing of money to private (5) individual?



www.ranapk.com

b. Why monetary base is said high powered money?

3. What is stable and unstable Economy? Discuss with reference to Pakistan? (5)

4. Compute the rate of inflation from this information. (5)

Years	CPI
2004	100
2005	110
2006	121
2007	130
2008	139

5. In barter system, how many price exchange ratios are possible for 80 commodities? (3)

6. "Monetary policy is used to stabilize economy" Discuss. (3)

7. "Central bank has monopoly in issuance of currency". Discuss. (3)

MGT411 FINAL TERM PAPER SHARED BY STUDENT

ON JULY 16, 2011 AT 10:09AM

total questions were 64

MCQ = 56



www.ranapk.com

4 questions of 3 marks.

4 questions of 5 marks.

1. define inflation------(3)
2. premium risk------(3)
3. components of aggregate demand---(3)
4. aik table tha us main three points thay un k initiative or effects likhnay thay.------(3)
5. effects of the components on aggragte demand(5)
6. explain CAMELS------(5)
7. aik question the us main condition d hoe the or justify karna tha------(5)
8. variance and standerd deviation find karna tha------(5)

MGT411 FINAL TERM PAPER SHARED BY STUDENT

MY TODAY 24 AUG 2014

"Monetary policy can be used to stabilize economy" Discuss

Differentiate between the Foreign exchange risk and the Sovereign risk.

Central bank can control the size of the monetary base. What are central bank monetary policy tools? Name them.

Give brief explanation of the following.

What is reserve requirement?

How is it controlled?

What is its impact on economy?

Discuss the impact of inflation shock on output and inflation.

Distinguish between illiquidity and insolvency.

Write down the categories of assets in the balance sheet of commercial banks.



www.ranapk.com

MGT411 FINAL TERM PAPER SOLVED SHARED BY STUDENT

ON FEBRUARY 11, 2012 AT 6:06PM

Subective Question Of Mgt411

Question No: 1(Marks: 3)

Briefly discuss different types of investment grades of Long term ratings be PACRA.

Answer

PACRA is the Pakistan Credit rating agency which rates different companies in Pakistan who offer bonds or stocks to investors. They rate companies independently to protect investors from companies who might default and not pay the investors. Based on their ratings given to different companies people who want to invest will know which companies to go for investment and which to avoid. The different types of investment grades given of long term ratings given by them are:

AAA: This is highest credit quality and has lowest expectation of risk

AA: Very high credit quality and very low expectation of risk

A: High credit quality and low expectation of risk

BB: Good credit quality and as of now there is low expectation of credit risk.

BBB: Good credit quality. 'BBB' ratings indicate that there is currently a low expectation of credit Risk

Question No: 2 (Marks: 3)

Find out YTM of 1 year 10% coupon bond selling at \$120. (Face value of bond = \$100).

Answer

Current yield = yearly coupon payment/price paid

Current yield = $10/120$

Current yield = 0.08333

Current yield = 8.33%

Capital gain or Loss = Change in the price of the bond/ price of the bond

Capital Gain or Loss = $120 - 100 / 100$

Capital Gain or loss = $20/100 = 0.02$ loss above the face value

Now,

Current yield – Capital loss

= $8.33 - 0.2$

= 8.13

So



www.ranapk.com

Bond Price > Face Value:

130 > 100

Coupon Rate > Current Yield > Yield to Maturity

10% > 8.33% > 8.13%

Question No: 3 (Marks: 3)

“Financial intermediary reduce costs”. How?

Answer

Financial intermediary is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities.

Question No: 4 (Marks: 5)

Define financial intermediaries. What functions the financial intermediaries performs regarding savings?

Answer:

Financial intermediary is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities

1. Maturity transformation

Converting short-term liabilities to long term assets just like banks deal with large number of lenders and borrowers, and settle their conflicting needs

2. Risk transformation

Converting risky investments into relatively risk-free ones For example ending to multiple borrowers to spread the risk

3. Convenience

Matching small deposits with large loans and large deposits with small loans

Question No: 5 (Marks: 5)

Suppose that over the past 20 years, the average annual return on investments has been 12%. For each dollar invested at the beginning of the period, How much money would investors have at the end of 20 years?

Answer

$FV = (1+i)^n - 1/i$

$(1+.12)^{20} - 1/.12 = 72.052$

$72.052 \times (1.12) = 80.698$

Question No: 6 (Marks: 5)

Briefly explain the factors which shift the bond demand.

Answer:

Factors that shift Bond Demand are

• **Expected inflation**



www.ranapk.com

If expected inflation fall then demand for bond increases, curve of bond demand shift to right.

- **Expected return on bonds**

If the expected return on bonds rise then people will invest money more ,as result demand for bond will rise

- **Risk relative to alternatives**

If other stocks are more risky then demand for bonds increases then shift the demand curve bond

- **Liquidity of bonds**

If liquidity of bonds becomes more than other stocks or investments then shift the demand curve bond

- **Wealth**

As the consumer received more wealth their demands for good raise. They will invest their money in market result will be economy grows and bond prices will increase.

Question No: 7 (Marks: 3)

Discuss briefly the facts about term Structure.

Answer

Term structure facts

The relationship among bonds with the same risk characteristics but different maturities is called the term structure of interest rates.

- 1) Long term yields tend to be higher than short term bond.
- 2) Interest rates of different maturities tend to move to gather
- 3) Yields on short term bond are more volatile than long term bonds yields

Question No: 8 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Solution:

Current yield = yearly coupon payment/price paid

Current yield = $12/130$

Current yield = 0.0923

Current yield = 9.23%

Capital Gain or Loss = $130 - 100 / 100$

Capital Gian or loss = $30/100 = 0.3$ loss above the face value

Now,

Current yield – Capital loss

= $9.23 - 0.3$

= 8.93

As we know

Bond Price > Face Value:

$130 > 100$

Coupon Rate > Current Yield > Yield to Maturity

$12\% > 9.25\% > 8.93\%$



www.ranapk.com

Question No: 9 (Marks: 5)

Discuss default risk of bond in detail.

Answer

Default Risk: It is define as that “there is no guarantee that a bond issuer will make the payment which he promised.

When there is higher default risk the higher the probability that those who have the bond will not receive the promised payments and thus higher the yield. The investor which are risk averse require some compensation for risk, more compensation is require for higher risk.

For example

Suppose risk free rate is 10%

ABC corp. issue one year bond at 10%

Price without risk= $(100 + 10)/1.1 = \text{Rs.}100$

Suppose, there is probability that ABC corp. goes bankrupt, get nothing than two possible payoffs: Rs.110 and Rs.0

Important characteristics.

- 1) A large number of shares are out standing.
- 2) Price of individual shares are low.
- 3) Shareholder can replace managers who are doing bad.
- 4) Due to limited liability investor only losses do not exceed the amount they paid.
- 5) An individual share represents only small fraction of value of the company.
- 6) This allow individual to make relatively small investment.
- 7) Stockholders receive he proceeds of a firm’s activities only after all other creditors are paid.

Question No: 10 (Marks: 3)

Differentiate between yield to maturity and current yield.

Answer

Yield To Maturity

The most useful measure of the return on holding a bond is called the yield to maturity (YTM).

This is the yield bondholders receive if they hold the bond to its maturity when the final principal payment is made

It can be calculated from the present value formula.

The value of i that solves this equation is the yield to maturity

If the price of the bond is \$100, then the yield to maturity equals the coupon rate.

Since the price rises as the yield falls, when the price is above \$100, the yield to maturity must be below the coupon rate.

Current yield

Current yield is a commonly used, easy-to-compute measure of the proceeds the bondholder receives for making a loan.

It is the yearly coupon payment divided by the price

The current yield measures that part of the return from buying the bond that



www.ranapk.com

arises solely from the coupon payments

Question No: 11 (Marks: 3)

Discuss briefly the facts about term Structure.

Facts of Term Structure

Interest Rates of different maturities tend to move together

Yields on short-term bond are more volatile than yields on long-term bonds

Long-term yields tend to be higher than short-term yields.

Question No: 12 (Marks: 5)

Discuss bubbles in your own word

Answer

Bubbles are persistent and expanding gaps between actual stock prices and those warranted by the fundamentals.

These bubbles inevitably burst, creating crashes.

They affect all of us because they distort the economic decisions companies and consumers make. If bubbles result in real investment that is both excessive and inefficiently distributed, crashes do the opposite; the shift to excessive pessimism causes a collapse in investment and economic growth. When bubbles grow large enough and result in crashes, the stock market can destabilize the real economy.

Question No: 31 (Marks: 5)

Briefly discuss short term ratings by Pakistan Credit Rating Agency.

Answer

Pakistan Credit Rating Agency.

A1+: highest capacity for timely repayment

A1: Strong capacity for timely repayment

A2: satisfactory capacity for timely repayment may be susceptible to adverse economic conditions

A3: an adequate capacity for timely repayment. More susceptible to adverse economic condition

B: timely repayment is susceptible to adverse changes in business, economic, or financial conditions

C: an inadequate capacity to ensure timely repayment

D: high risk of default or which are currently in default

Question No: 13 (Marks: 5)

Define stock and also discuss its important characteristics.

Stock & its importance

Stocks provide a key instrument for holding personal wealth as well as a way to diversify, spreading and reducing the risks that we face. For companies, they are one of several ways to obtain financing. Additionally, Stocks and stock markets are one of the central links between the financial world and the real economy.

Common Stock

Valuing Stock

Stocks, also known as common stock or equity, are shares in a firm's ownership



www.ranapk.com

From their early days, stocks had two important characteristics that today are taken for granted:

The shares are issued in small denominations and the shares are transferable. Until recently, stockowners received a certificate from the issuing company, but now it is a computerized process where the shares are registered in the names of brokerage firms that hold them on the owner's behalf.

The ownership of common stock conveys a number of rights.

A stockholder is entitled to participate in the shares of the enterprise, but this is a residual claim meaning the leftovers after all other creditors have been paid.

Question No: 14 Marks: 3)

Give a single line definition of the following.

Answer:

- 1) Credit risk: This is a risk which arises when loans are not repaid. It is avoided by diversification and checking credit worthiness.
- 2) Interest-rate risk: The assets and liabilities of a bank are sensitive to interest rate but liabilities are of short term and assets of long term so by an increase in interest rate banks have the risk that value of assets fall more than that of liabilities affecting the net worth or capital of bank.
- 3) Liquidity risk: It is a risk associated with a sudden increase in demand of funds. If bank can not meet the withdrawal requirement of all its customers, bank is considered illiquid and it may fail.

Question No: 15 (Marks: 3)

How Financial System promotes economic efficiency? List down points

1. They provide the channel for transfer of funds between saver and borrowers
2. provide risk sharing like insurance
3. provide payments like bank accounts
4. Help those people which do not have enough capital to use profitable opportunity.

Question No: 16 Marks: 3)

Describe the role of Central bank as “The Bankers Bank”

Answer

The central Bank works as a Banker's Bank. The role which it plays is

1. Lender of last resort. If banks go illiquid or during financial stress central
2. Bank provides discount loans to banks.
3. Manage interbank payment system
4. Monitors the working of banks and stabilizing financial system

Question No: 17 (Marks: 3)

Why stocks are risky?

Stockholders receive profits only after the firm has paid everyone else, including bondholders.

1. It is as if the stockholders bought the firm by putting up some of their own



www.ranapk.com

wealth and borrowing the rest

2. This borrowing creates leverage, and leverage creates risk

3. Imagine a software business that needs only one computer costing \$1,000 and purchase can be financed by any combination of stocks (equity) and bonds (debt). Interest rate on bonds is 10%. Company earns \$160 in good years and \$80 in bad years with equal probability

Question No: 18 Marks: 3)

What is the effect of an increase in potential output on inflation and output?

Answer:

Increase in potential output shifts long run aggregate supply curve to right, this shift has no impact on short run aggregate supply curve so inflation and output remains unchanged. But in long run now as potential output is increased so current output will be below potential output creating recessionary output gap causing inflation to fall and output begins to rise.

Question No: 19 Marks: 5)

Which relationship is shown by the monetary policy reaction curve?

What will be the change in monetary policy reaction curve if the given factors change?

a. An increase in the Central Bank's Inflation Target

b. An increase in the Long-run real interest rate

Answer:

Monetary policy reaction curve gives a relationship between inflation and real interest rate. It is set so that when current inflation equals target inflation, real interest rate equals long run real interest rate.

a. Increase in central bank's inflation target shifts the monetary policy reaction curve to right

b. Increase in long run real interest rate shifts the curve to left

Commodity money

E-money

Question No: 20 (Marks: 5)

You are the founder of an automobile company. Describe the idiosyncratic & systematic risks that your company faces.

Answer

IDIOSYNCRATIC RISK

Unsystematic risk or risk that is uncorrelated to the overall market risk. In other words, the risk that is firm specific and can be diversified through holding a portfolio of stocks

WHAT IS SYSTEMATIC RISKS:

The risk inherent to the entire market or entire market segment Also known as "undiversifiable risk" or "market risk." Systematic risks affect everyone. Systemic risk, market risk and un-diversifiable risk is risk which applies to whole market or market segment.



www.ranapk.com

Question No: 21 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

(i) If interest rate does not change then what will be the rate of return?

Answer

Rate of return = $8/100$

Rate of return = 0.08

Rate of return = 8%

(ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?

Answer

If interest rate falls to 6% over the year then through using bond pricing formula we can see that

You bought a 10-year bond for \$100 and sold a 9-year bond for \$109.16

Now,

\$8 is coupon payment

$109.16 - 100 = 9.16$ is capital gain

(ii) After the price rise, what will be the one year holding period return?

So now, one year holding Period return = $\$8/100 + 109.16 - 100 / 100$

= $8/100 + 17.16/100$

= $17.16 / 100$

= .1716

= 17.16%

MGT411 FINAL TERM PAPER SHARED BY STUDENT

ON MARCH 8, 2014 AT 7:25PM

My today's paper.

1. 3 questions of 3 marks

2.5 questions of 5 marks

3.52 mcq's mostly new and conceptual.

questions were mainly about central banks role in stabilization of economy.



www.ranapk.com

2. one question was about a table given in which quantity of money increase decrease effect was asked from us.

3. One question of 5 marks was about hedging.

4. Potential output and current output relation with inflation. This concept is really important because most of the mcq's were from it.

Best of luck..